Centralisation & Decentralisation

Unit 1 · 1.3.4.3 Organisational design

This is about **where decisions are made**.

- **Centralised** — head office keeps major decisions. Tight control, consistency and economies of scale, but slow and can demotivate local staff. Fast-food chains like McDonald's centralise for consistent quality across thousands of outlets.
- **Decentralised** — decisions spread to branches and local managers. Faster, more responsive and motivating, but risks inconsistency and loss of brand identity. Tesco, Hilton and Waterstones decentralise to tailor to local markets.

Many firms use a **hybrid** — centralising accounting and purchasing to save cost, while decentralising recruitment or product range to local units.